AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies.

B124: Fundamentals of Accounting

Spring Semester 2024-2025

Mid Term Assessment Makeup – Version A-

Date: 24-April-2025

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
- Students are allowed to use ***non-programmable*** calculators only (if needed).
- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy

Question 1 (20 marks)

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A- Copy the table in your answer sheet and for each user of accounting information; identify if the user is an internal or external user. **(6 marks)**

User of Accounting Information	Internal or External
Supplier	
Shareholder	
Production Manager	
Banks	
Investors	
Finance Director	

(6 Marks)

B- Fill in the Missing Words (only write the missing word(s) in your answer sheet):

1. _____ accounting focuses on information for internal decision makers..
2. _____ is the organization responsible for the creation and governance of accounting standards in the United States
3. The owners of a partnership are called _____, and the owners of a corporation are called _____.
4. _____is a report that describes a company's financial position at a point in time
5. The _____ assumption assumes that a business will continue operating indefinitely instead of being closed or sold.
6. A _____ gives a complete chronological record of each transaction in one place, and shows debits and credits for each transaction.

C- Compute the missing amount for each of the following separate companies.

(8 Marks)

	A	B
Equity, beginning of year	110,000	210,000
Owner withdrawals during the year		(55,000)
Net income (loss) for the year	22,000	
Equity, end of year	$104,000	$110,000

Question 2 (31 Marks)

Youssef opens a Web consulting business called Linkworks and completes the following transactions in its first month of operations.

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April 1	Youssef invests $40,000 cash along with a van valued at $15,000 in the company.
3	The company made credit purchases for $12,000 in Computer and $4,600 in office supplies. Payment is due within 10 days.
6	The company completed services for a client and immediately received $9,000 cash.
9	The company completed a $7,000 project for a client, who must pay within 30 days.
13	The company paid for the items purchased on credit on April 3.
22	The company received $4,000 cash as partial payment for the work completed on April 9.
28	Youssef withdrew $3,500 cash from the company for personal use.
30	The company paid $600 cash for this month's utility bill.

Required

(1) Prepare journal entries for the above transactions. **(24 Marks)**

(2) Post transactions to Cash account and Accounts Receivable account. Calculate its ending balance. **(7 Marks)**

Question 3 (12 Marks)

A- Match the following terms and definitions.**(4 Marks)**

a. Accounts receivable

b. Creditor

c. Accounts payable

d. Note payable

_____ (1) Amounts due from customers

_____ (2) Amounts owed to suppliers for goods and services purchased

_____ (3) Amounts owed to bank

_____ (4) Party to whom money is owed

B- Classify each of these items as an asset (A), liability (L), or equity (E).**(8 Marks)**

_____ 1. Accounts receivable

_____ 2. Accounts payable

_____ 3. Share capital-ordinary

_____ 4. Supplies

_____ 5. Utilities expense

_____ 6. Cash

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_____ 7. Note payable

_____ 8. Equipment

Question 4 (37 Mark)

A- Listed below in alphabetical order are the statement of financial position items of Rowan Company at December 31, 2020. Prepare a balance sheet and include a complete heading. **(20 Mark)**

Accounts payable	$ 19,000
Accounts receivable	25,000
Buildings	96,000
Cash	14,000
Equipment	5,000
Share capital - ordinary	121,000

B- At the beginning of 2020, Bonds Company had total assets of $650,000 and total liabilities of $370,000. Answer each of the following questions.**(17 Mark)**

1. If total assets increased $60,000 and equity decreased $90,000 during the year, determine the amount of total liabilities at the end of the year. **(6 Mark)**
2. During the year, total liabilities decreased $75,000 and equity increased $50,000. Compute the amount of total assets at the end of the year. **(6 Mark)**
3. If total assets decreased $100,000 and total liabilities increased $55,000 during the year, determine the amount of equity at the end of the year. **(5 Mark)**

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